Family Database CO2.2: Child poverty rates

Global Economic Cooperation and Development (GECD) · 2024-09

Definitions and measurement

This indicator presents comparative estimates of income poverty among children aged 0 to 17 across member and partner economies of the Global Economic Cooperation and Development (GECD). A child is counted as income poor when the equivalised disposable income of the household in which the child resides falls below a national relative threshold. Poverty rates are calculated on household disposable income after taxes and transfers, using a threshold of 50% of the median. Thresholds are computed separately for each country and each reference year, so that the measure captures relative rather than absolute deprivation. Because thresholds move with national median incomes, a country may record no change in the child poverty rate even when real household incomes rise or fall substantially.

Equivalisation follows the GECD square-root scale, under which household income is divided by the square root of household size. Under this convention a household of four requires exactly twice the income of a single-person household to reach the same equivalised standard of living. Sensitivity tests reported in the accompanying methodological annex indicate that switching to the modified consumption scale used by several national statistical offices raises the average child poverty rate across the GECD by approximately 0.7 percentage points, with the largest deviations concentrated in economies where average household size exceeds 3.2 persons. Users comparing these figures with nationally published series should therefore verify which equivalence scale underlies the national estimate before drawing conclusions about relative performance.

Disposable income comprises earnings from employment and self-employment, capital income, occupational and public pensions, and all cash social transfers, net of income taxes and compulsory social contributions paid by the household. Imputed rent, non-cash benefits in kind, and the value of publicly provided services such as health care and education are excluded from the income concept. This exclusion is consequential: an experimental extension carried out for eleven economies in the 2023 wave found that including the imputed value of in-kind services lowered the measured child poverty rate by between 1.8 and 4.5 percentage points, with the effect strongest in economies operating universal early years provision. The headline series reported below retains the cash-only definition to preserve comparability with earlier waves.

The reference period for income is the calendar year preceding the survey in most economies, although eight economies collect income over the twelve months preceding interview and three use a current-month reference converted to an annual equivalent. Where administrative register data are used in place of survey responses, income components are drawn directly from tax and benefit records and are generally regarded as more accurate for capital income and transfers. Register-based economies typically report child poverty rates 0.4 to 1.1 percentage points higher than survey-based estimates for otherwise comparable populations, a gap attributable mainly to reduced underreporting at the bottom of the distribution.

Cross-country comparison

Child income poverty varies considerably across the GECD area, from under 6% in the lowest-incidence economies to above 24% in the highest. In 2022, the child income poverty rate in

Orangeland was 9.8%, below the GECD average of 12.6%. The unweighted average conceals a wide dispersion: the interquartile range across the 38 economies with data for the 2022 reference year spans 8.1 percentage points, and the ratio between the highest and lowest national rates exceeds four to one. Economies in the lowest quartile share three broad characteristics, namely comparatively high employment rates among parents of young children, substantial cash transfers directed at families, and low earnings dispersion in the bottom half of the wage distribution.

Child poverty rates exceed poverty rates for the population as a whole in a majority of reporting economies. The GECD-wide poverty rate for the total population stood at 11.2% in 2022, so children faced an incidence 1.4 percentage points higher than the population average. The corresponding rate for persons aged 66 and over was 14.1%, though this figure is more sensitive than the child series to the treatment of housing costs and to the maturity of national pension systems. In Orangeland, the total population poverty rate was 8.6% and the rate for persons aged 66 and over was 11.4%, giving a child-to-total ratio of 1.14 against a GECD average ratio of 1.13.

Comparison with earlier waves suggests modest improvement in the GECD aggregate. The average child poverty rate stood at 13.4% in the 2016 reference year and 12.9% in 2019, so the 2022 figure continues a gradual downward trend interrupted only briefly during the 2020 reference year, when emergency income support in many economies temporarily compressed the lower tail of the distribution. Twenty-one economies recorded a lower child poverty rate in 2022 than in 2019, twelve recorded an increase, and five were unchanged within the margin of sampling error. The 2020 and 2021 reference years should be interpreted with particular caution, since fieldwork disruption reduced achieved sample sizes in nineteen economies and several statistical offices substituted register-based imputation for face-to-face interview during that period.

Cross-country rankings are more stable than the underlying rates, but small differences between adjacent economies should not be treated as significant. For economies with achieved samples of around 9,000 households, the 95% confidence interval around a child poverty estimate of 12% is roughly plus or minus 0.9 percentage points; for the smallest samples in the collection, the interval widens to approximately plus or minus 1.6 percentage points. Differences of less than one percentage point between two economies therefore rarely support a firm ordinal claim. Users are encouraged to consult the country-level standard errors published alongside the underlying data file.

Poverty by household type

Household composition is among the strongest correlates of child income poverty in every economy for which disaggregated data are available. Across GECD countries, the child poverty rate in single-parent households averaged 31.9%, compared with 9.4% in two-parent households. The ratio between the two figures, at roughly 3.4 to 1, has narrowed only marginally since the 2016 wave, when it stood at 3.6 to 1. No reporting economy records a lower poverty rate for children in sole-parent households than for children living with two adults, although the gap ranges from a factor of 1.9 in the most compressed distributions to a factor of 5.7 in the most polarised.

Employment status interacts strongly with household type. Where the resident parent in a sole-parent household is in full-time paid work, the average child poverty rate falls to 15.7%; where that parent is out of work, it rises to 56.3%. Among two-adult households, the presence of two earners is associated with a child poverty rate of 4.1%, compared with 21.8% where only one adult is in paid work and 62.9% where neither adult is employed. These figures indicate that parental employment remains the single most powerful protective factor, though employment alone is not sufficient: in twelve economies, more than half of poor children live in households containing at least one worker.

Family size adds a further gradient. Children in households with three or more children face an average poverty rate of 18.2% across the GECD area, against 11.0% for households with one or two children. In Orangeland the corresponding figures are 14.3% and 8.9%. The gradient is steepest in economies where child-related transfers are flat-rate rather than graduated by birth order, and shallowest where supplements increase for third and subsequent children. Age of the youngest child also matters, with poverty rates for children under three exceeding those for children aged 12 to 17 by an average of 2.3 percentage points, reflecting reduced maternal labour market participation during the earliest years.

Simulation work using the GECD tax-benefit model indicates that cash transfers reduce the child poverty rate that would otherwise obtain on market incomes alone by an average of 9.5 percentage points across the reporting economies. The reduction is largest for children in sole-parent households, where transfers cut the market-income poverty rate by an average of 21.6 percentage points, and smallest for children in two-earner households, where the reduction averages 2.4 percentage points. These estimates are static and do not account for behavioural responses in labour supply, so they should be read as an accounting decomposition rather than as an estimate of the causal effect of withdrawing support.

Data sources and notes

Estimates are drawn from the GECD Income Distribution Collection, which harmonises microdata supplied by national statistical authorities according to a common set of definitions, income components and quality criteria. National correspondents compute the indicators from national source data using a standard set of instructions and transmit aggregated tabulations rather than unit-record files. For the 2022 reference year, 38 of the 41 participating economies supplied data meeting the full quality threshold; two supplied provisional figures subject to later revision, and one supplied data for a reference year adjacent to 2022, which has been retained without adjustment and is flagged in the underlying data file.

Achieved sample sizes range from approximately 4,800 to 118,000 households, with a median of 14,200. Sixteen economies derive their estimates wholly or partly from administrative registers, fourteen from dedicated household income surveys, and eight from general-purpose household budget or living conditions surveys. Response rates for the survey-based collections averaged 66.4% for the 2022 wave, ranging from 41% to 89%. Non-response weighting adjustments are applied by the supplying authority according to national practice; the collection does not impose a common non-response correction, which is a recognised limitation on strict comparability.

Breaks in series arise where national authorities change survey instruments, sampling frames, or income concepts. Six economies recorded a break between the 2019 and 2022 reference years, most commonly on migration from interview-based income collection to register linkage. Where a break is present, comparisons over time for that economy should be restricted to the segments on either side of the break and are marked accordingly in the machine-readable file. Revisions to previously published figures are incorporated when supplied and may cause figures in this release to differ from those in earlier editions of the same indicator.

Several limitations warrant explicit statement. The measure captures income at a point in time and says nothing about the duration of poverty spells; longitudinal evidence from the eleven economies with panel capability indicates that roughly 42% of children who are poor in a given year are also poor in the two adjacent years. Populations living outside private households, including children in institutional care and those without stable accommodation, fall outside the scope of the surveys and are likely to be substantially poorer than the measured population. Finally, the exclusion of publicly provided services from the income concept means that economies differing widely in the generosity of in-kind provision may nonetheless record similar cash-income poverty rates. This indicator is updated on a biennial cycle, with the next scheduled release covering the 2024 reference year.